

major titles in its library, due to Nintendo's competitive and strict licensing practices. It did manage to receive acclaim for some of its franchises, including Sonic the Hedgehog, which has gone on to become a cult classic, and Phantasy Star. Despite its shortcomings, it attained a high level of success in European and Brazilian markets, one that even Nintendo couldn't match up to.

In third place came Atari's 7800 system, which was released in 1986. One of the major benefits that helped boost sales of this console was the fact that it was backwards compatible with the Atari 2600, which meant that a wide variety of games could be played on the 7800, without additional purchases.

The 7800 did boast of superior graphics hardware compared to the 2600; however, they stuck to the old audio chip. This meant that the 7800 was no match for Nintendo and Sega's offerings, and even its lower price tag didn't help propel it to the top market spot. To add to Atari's woes, major game



Sega Master System

titles were unavailable due to Nintendo's licensing policies, which meant that Atari struggled to maintain sales, and discontinued its product in 1992.

The third generation saw no great technological advancements, but it did help pull out the North American console market from its gloom, and set it on the right track for upcoming years.

Fourth Generation

The fourth generation was also dubbed the "16-bit era", for obvious reasons, and started off with the release of NEC's TurboGrafx-16 in 1987. Despite being